Meta Platforms, Inc.

META NASDAQ

Buy	$736.71 ▼ 3.38%	12M Price Target	52-Week Range	Market Cap
		$820.00	$520.26 – $779.82	$1.88T

META: Profit-Taking After Rally, AI Capex Still The Story

WHAT HAPPENED

- Stock pulled back 3.4% today after a nice two-day run (up ~6% Mon-Tue). Volume was LIGHT (9.3M vs 20M+ the prior days) — meaning not a lot of conviction behind the selling, more like profit-taking after the pop. Nothing company-specific overnight.
- The options market is flashing yellow — big put buyers (bets stock goes down) jumped in at the $745-$750 strikes expiring in October, some at 14x normal volume. Someone with real money is hedging or betting on a short-term dip into earnings.

WHY IT MATTERS

Here's what I think is going on: META ran up to $762 (near the 52-week high of $779) and traders took chips off the table ahead of Q3 earnings (late October). The unusual put activity at $745-750 isn't necessarily bearish on the business — it's likely institutions buying "insurance" because they're sitting on big gains and earnings is a known binary event. The COO selling ~$850K of stock is a nothing-burger (likely a scheduled 10b5-1 sale), but the "cluster selling" flag means you want zero insider BUYING to lean on. Bigger picture: META sits in a weird sweet spot right now — the Trump administration's "America-first AI" posture is a tailwind (they want US tech giants winning the AI race vs. China), but the FTC antitrust case is still grinding in the background.

POLICY & POLITICAL WATCH

Two things to watch: (1) The Kids Online Safety Act (KOSA) is still bouncing around Congress — if it passes with teeth, META has to spend heavily on age verification and content moderation, which hits margins. (2) The administration's AI executive orders have been net-friendly to Big Tech because the policy priority is "beat China," which means fewer restrictions on data center buildouts, chip exports (for allies), and AI model training. That's a direct green light for Zuck's $60B+ AI capex plan. Also keep an eye on any digital services tax chatter in EU trade talks — that's a direct revenue hit if it escalates.

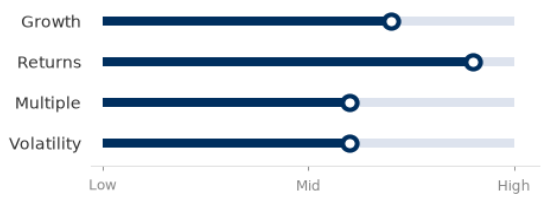
IS IT EXPENSIVE?

At ~$737, META trades around 27x forward earnings — meaning you're paying $27 for every $1 of profit the company will make next year. That's a premium to the S&P (~22x) but a discount to where it was in 2024 (~30x+), and cheap vs. the "Mag 7" average. The question is whether the massive AI spending ($70B+ capex this year) earns a return — if ad revenue keeps compounding at 15%+ and Reality Labs losses stabilize, this multiple is justified. If AI capex becomes a black hole with no revenue to show, the multiple compresses to 20x and you're looking at $600.

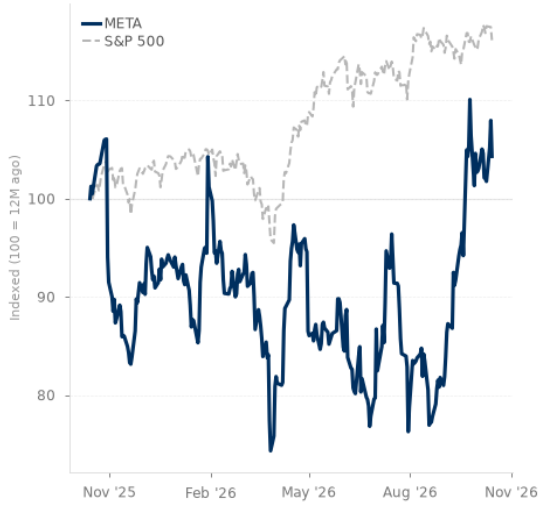
Key Data

Price (USD)	**$736.71**
12M Price Target	**$820.00**
Upside / (Downside)	**+11.3%**
Market Cap	**$1.88T**
FY2026E Revenue	**$198M**
FY2027E Revenue	**$228M**
FY2026E EPS	**$27.50**
FY2027E EPS	**$32.00**
Fwd P/E	**26.8x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

META — Meta Platforms, Inc. | October 14, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$790.00**	$750.00	**$700.00**
6 Months	**$850.00**	$790.00	**$680.00**
1 Year	**$900.00**	$820.00	**$650.00**
2 Years	**$1050.00**	$900.00	**$600.00**
5 Years	**$1400.00**	$1100.00	**$550.00**
10 Years	**$2000.00**	$1500.00	**$500.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+2.1%) and Staples (+1.5%) ripping — classic defensive rotation, meaning money is getting nervous about growth/tech. Energy still strong on geopolitical premium.

COOLING OFF: Real Estate and Materials soft — rates staying higher-for-longer is biting rate-sensitive sectors.

ROTATION WATCH: Today looks like a mini "risk-off" day — money rotated out of mega-cap tech (META, likely NVDA too) into healthcare and staples. This is tactical, not thematic. If it continues 3+ days, worry. One day = noise.

RELATED PLAY: If META's AI capex thesis holds, the picks-and-shovels names win regardless — NVDA (chips), VRT (power/cooling), and even utility names feeding data centers (CEG, VST) benefit from the same tailwind.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Winning on Gemini traction + YouTube ad strength — direct competitor to META for ad dollars and AI mindshare.
- AMZN (Amazon): AWS reaccelerating as enterprise AI spend ramps — proof that AI capex IS converting to revenue, which is bullish read-through for META.

META CONTEXT: META has been leading the ad-tech peer group all year (up ~40% YTD vs. GOOGL ~20%), so some mean-reversion/profit-taking makes sense. Not a sign the thesis is broken — more a sign it got ahead of itself near $780.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like it, but I'm not pounding the table here with earnings in two weeks and the stock near highs.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that an earnings air-pocket doesn't ruin your month.

ENTRY POINTS: $715-730 on pullbacks is my add zone. If it gets to $700, back up the truck.

TIME HORIZON: 12-24 months. Near-term catalyst is Q3 earnings (late Oct). Longer-term, you're betting on AI monetization showing up in 2026-2027.

WHEN TO BAIL: Ad revenue growth drops below 10% YoY, or 2027 capex guide comes in >$120B without a revenue story, or FTC gets a divestiture ruling.

HEDGING: Simplest hedge — buy some protective puts into earnings (basically pay a small premium for downside insurance). Or pair-trade: long META, short GOOGL, if you want to isolate the "META-specific" bet without taking broad tech market risk.

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